Annual Rate Updates

Agency rename (June 1, 2026): USDA renamed the Food and Nutrition Service (FNS) to the Food and Nutrition Administration (FNA). Federal Register publications now use "FNA." Report numbers (FNS-10, FNS-44, FNS-418, FNS-640, FNS-905) retain their original designations and are unchanged.

ClaimLaws: rates frozen at application approval. A revised claim in December uses the rate frozen in October — not the new July rate.

3 Types of Annual Changes

	RATE CHANGES (Most frequent · January (SFSP) and July (NLSB/SBC/CACFP) every year)	CALCULATION RULE CHANGES (Less frequent · Every 1–5 years)	FORM & INSTRUMENT CHANGES (Timeline Varies)
	USDA publishes new reimbursement rates. Data change only — zero code, zero deployment.	USDA changes HOW the math works. Requires code — but safely behind a program-year gate.	USDA updates annual forms, review questions, checklist requirements, VCA scoring. Data change via Forms Engine.
What Changes	Free lunch rate, reduced rate, paid rate, severe need lunch rates, performance-based reimbursement factor, breakfast rates, snack rates, SFSP operating + administrative rates, CACFP center rates (breakfast/lunch/snack/supper), DCH Tier I / Tier II rates, special milk rates, state match rates	Meal pattern requirements (added sugar limits SY2025-26, sodium Target 2 SY2027-28), Buy American enforcement thresholds (10%→8%→5%	Review instrument question sets (ReviewVersions), annual checklist required items, VCA scoring tool weights, FNS report formats, annual form types (FSMC certification, food safety, non-discrimination), Buy American attestation language, income

		), whole milk eligibility rule change (June 2026), non-congregate eligibility for NSLP/SSO (added PY2024), CEP claiming % formula (has not changed but could), 60-day submission deadline exceptions	eligibility guideline thresholds (July 1 annually)
Frequency	Every July 1 (federal school year start) and January 1. USDA publishes in Federal Register ~July each year. Example: *National School Lunch Program — National Average Payments SY2025-26, published July 2025.*	Every 1–5 years. Often announced 1–2 years in advance (e.g., Healthy Meals, Healthy Kids Act 2022 → non-congregate effective 2022; sodium Target 2 announced 2024 → effective 2027).	Income eligibility guidelines: annually (July 1). Review instruments: every 1–3 years. Annual form text: varies. USDA often announces in SP (School Programs) memos months in advance.
New Approach	✅ INSERT new rows into `ClaimRateAmounts` in **cnp_global** with `EffectiveDate = July 1`. No code change. No SP change. Rate lookup is effective-dated so claims always use the rate in effect on their claim date.	✅ Implement the new rule in C# behind a **program year gate**: `if (programYea`	✅ Insert new `ReviewVersion` rows, new `AnnualFormType` rows, new `VCAScoringTool` versions, updated income

	`ProgramRatePeriods` defines the valid window for each program group year (SFSP: Jan 1–Dec 31; NSLP/SBP/CACFP: July 1–June 30) and governs which EffectiveDate is valid for each program.
	
	`-- NSLP/SBP/CACFP annual update (July 1)`
	`INSERT INTO ClaimRateAmounts (ProgramCode, MealType, EligCategory, Rate, EffectiveDate)`
	`VALUES ('NSLP', 'Lunch', 'Free', 4.12, '2025-07-01')`
	
	`-- SFSP annual update (January 1)`
	`INSERT INTO ClaimRateAmounts (ProgramCode, MealType, EligCategory, Rate, EffectiveDate)`
	`VALUES ('SFSP', 'Lunch', 'Free', 5.10, '2026-01-01')`
	
	⚠ **Rate Availability Constraint** `ClaimRateAmounts` rows for the new school year must exist before any claim with a July 1+ claim date (or January 1+ for SFSP) can pass rate validation. The platform does not block claim submission — rate lookup returns null and the claim fails validation at processing time. Inserting rates before the school year start is an operational obligation. USDA typically publishes in late June; target INSERT completion before June 30 to avoid any July 1 claim failures.
		`r >= 2024)`. Feature flag controls whether the new logic is active. Characterizatio n tests verify PY2023 claims still work under old rules; PY2024 claims work under new rules. Ship before effective date.	thresholds into **cnp_global**. All effective-dated. Forms Engine loads the version current for the program year. Historical forms (PDF snapshots) capture what existed at time of submission.

Existing Approach	⛔ *Current: manually update SQL Server rate tables per state.*	⛔ *Current: update the SP. No tests. Deploy per state. States end up on*	⛔ *Current: create SponsorApp54 alongside SponsorApp34. Over time: 847 nearly-identical pages per state. Bug fixes in one need to be*

		different SP versions. Regressions can be introduced for prior-year claim revisions.	*manually applied to others.*

Annual Calendar

JANUARY	FEBRUARY	MARCH	APRIL
Mid-year review window New rates effective for SFSP	President's budget — advance notice of rate direction	Income eligibility guidelines published (Federal Register) Effective July 1	USDA publishes SP memos with guidance updates
MAY	**JUNE**	**JULY**	**AUGUST**
Final rule publications for upcoming SY	Rates published for next SY SFSP begins Load new rates into cnp_global	New rates effective for NLSP/SBC/CACFP SY start Income eligibility guidelines	SY applications open Buy American SY enforced
SEPTEMBER	**OCTOBER**	**NOVEMBER**	**DECEMBER**
SFSP ends (most states)	New FFY starts (Oct 1) FFY rollover runs October enrollment survey	USDA publishes next SY rate proposals	Application deadlines many states

ClaimLaws Preventing Rate-change Errors

Application Approved (Dec 1, 2024) → **ClaimLaws Record Created** → **July 1, 2025 — New SY2026 Rates Published** → **October 2025 Claim Submitted (SY2025)** → **Revised Claim Submitted Dec 2025**

State agency approves SY2025 application for Salt Lake City SD. System calls `ClaimLaws.FreezeOnApproval(applicationId)`.	`ClaimLawsId: 8821` `ApplicationId: 12345` `EffectiveDate: 2024-12-01` `LunFrRte: 4.12 (SY2025)` `PbrRte: 0.09 (perf-based)` `BrkFrRte: 2.27` `...all rates frozen`	New rates inserted into `ClaimRateAmounts`: `LunFrRte: 4.28 (SY2026)` EffectiveDate: 2025-07-01 Existing ClaimLaws #8821 unchanged.	Claim validation loads `ClaimLawsId: 8821` (frozen at approval). Uses `LunFrRte: 4.12` — the SY2025 rate. **Correct.** New SY2026 applications get `LunFrRte: 4.28` frozen into their ClaimLaws. Also correct.	Revision still references `ClaimLawsId: 8821`. Still uses SY2025 rate `4.12`. Federal audit requirement: the rate in effect at original submission governs the claim.

State-Specific vs. Federal The Overlay Model

Federal (Same for All States) → cnp_global	
Free lunch rate	$4.12 — every stat
CEP claiming formula	ISP × 1.6 (capped 100%)
60-day submission deadline	Federal mandate
SFSP 2% second meal cap	Federal — 2% of first meals
DCH Tier I/II determination criteria	Census low-income threshold

State-Specific → cnp_ops per-tenant config + IAccountingExporter	
State match rate	*Utah: $0.02/eligible lunch · Most states: $0*
Severe Need Lunch eligibility determination	*State tracks which sponsors qualify based on poverty dat*
Late claim override policy	*Utah allows late claims as originals; other states don't*

Section 4/11 split formula	Federal — FNS-10 reporting
Income eligibility % (130%/185%)	Federal percentage
Non-congregate PY2024 gate (NSLP)	Federal — PY ≥ 2024
Provision 2/3 provisional % (prior year data)	Federal formula

SSO participation	*State elects to offer SSO; most but not all do*
SFSP site High/Low cost classification	*State assigns based on sponsor type and operating costs*
Accounting system exporter	*UT: USAS · CO: COFRS · SC: CALSTARS · MT: SABHRS*
DC source feeds (IDcFeedAdapter)	*UT: Medicaid+SNAP · IN: SNAP+Medicaid+TANF+DCS · varies — handled by* ***IDcFeedAdapter*** *per tenant (one of the four core adapter interfaces)*
Buy American enforcement threshold	*Federal minimum + state may add stricter requirements*
Training requirements beyond federal minimum	*Some states require additional Professional Standards hours*

The Annual Rate Update Workflow — How It Should Work

AI MONITOR

Federal Register API detects rate publication Automated

The AI Regulatory Detection service (monitoring Federal Register API daily) classifies the new document as a Type 1 rate change affecting NSLP/SBP/SFSP/CACFP. Note: USDA renamed FNS

→ FNA on June 1, 2026; Federal Register document headers now use "FNA". Sends alert to platform team with source document, affected programs, and effective date. Typically fires in June–July when USDA publishes.

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PLATFORM TEAM

AI rate extraction service parses published rates (AI-Assisted)

LLM reads the Federal Register PDF table, extracts all rate values by program and meal type, maps them to the ClaimRateAmounts schema. Output: a typed JSON object. Takes ~2 minutes vs. hours of manual work. Human reviews the extracted rates against the published document.

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PLATFORM TEAM

Proposed rates staged for review (Human review)

Extracted rates appear in a review UI: new rate vs. prior year, delta %, effective date. Any change >10% from prior year is hard-blocked for manual verification — anomaly detection prevents entry errors. State match rates reviewed separately per state.

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SYSTEM

Approved rates INSERT into cnp_global (Zero deployment)

```
INSERT INTO ClaimRateAmounts (ProgramCode, MealType, EligCategory, Rate, EffectiveDate) VALUES ('NSLP', 'Lunch', 'Free', 4.12, '2025-07-01')
```

No code change. No SP change. No deployment to any state. All 22 states get the new rates simultaneously and correctly at effective date.

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APPLICATIONS

New SY applications freeze new rates into ClaimLaws (Automatic)

When state agencies approve SY2026 applications, ClaimLaws.FreezeOnApproval() captures the eligibility snapshot; dollar rates are resolved separately from ClaimRateAmounts at claim time. SY2025 applications retain SY2025 frozen rates. Both are correct simultaneously, for all 22 states, without any manual intervention.

What the Calculation Looks Like (C# vs. Sproc)

```
// The NSLP claim reimbursement calculation — translated from
NslpSponsorClaimBLL.CalcReimbursement()
// This is the actual math. The key insight: rates come from ClaimLaws (frozen), not live
tables.

public class NslpReimbursementService {

  public ReimbursementResult Calculate(ClaimContext ctx, ClaimLaws laws) {

    // Step 1: Select rate set based on sponsor eligibility (from ClaimLaws — frozen at
approval)
    var lunFrRte = laws.SeverNeedLunch ? laws.SnlFrRte : laws.LunFrRte;
    var lunRdcRte = laws.SeverNeedLunch ? laws.SnlRdcRte : laws.LunRdcRte;
    var lunPdRte  = laws.SeverNeedLunch ? laws.SnlPdRte : laws.LunPdRte;

    // Step 2: Add Performance-Based Reimbursement if sponsor qualifies
    if (laws.PerformanceBasedQualified) {
      lunFrRte  += laws.PbrRte;   // ~$0.09 SY2025-26
      lunRdcRte += laws.PbrRte;
      lunPdRte  += laws.PbrRte;
    }

    // Step 3: Section 4/11 split (FNS-10 federal reporting requirement)
    // Section 4 = base subsidy (ALL meals get this rate)
    // Section 11 = additional subsidy for free/reduced above the paid rate
    var lun4Amt  = Round((ctx.FreeLunches + ctx.SSOLunches) * lunPdRte);
    var lun11Amt = Round((ctx.FreeLunches + ctx.SSOLunches) * (lunFrRte - lunPdRte));
    var lunRdc4  = Round(ctx.ReducedLunches * lunPdRte);
    var lunRdc11 = Round(ctx.ReducedLunches * (lunRdcRte - lunPdRte));

    // Step 4: Calculate all meal type amounts
    var result = new ReimbursementResult {
      LunchPaidAmt    = Round(ctx.PaidLunches * lunPdRte),
      LunchFreeAmt    = Round(ctx.FreeLunches * lunFrRte),
      LunchReducedAmt = Round(ctx.ReducedLunches * lunRdcRte),
      LunchWaiverAmt  = Round(ctx.SSOLunches * (laws.SfspRates ? laws.SsoLunWavRte :
lunFrRte)),
      BrkFreeAmt      = Round(ctx.FreeBreakfasts * laws.BrkFrRte),
      StateMatchAmt   = Round(ctx.StateMatchEligLunches * laws.StateMatchRte),
      FFVReimbAmt     = ctx.FFVAdminCost + ctx.FFVOperCost,
      Lun4Amt = lun4Amt, Lun11Amt = lun11Amt,  // FNS-10 reporting
    };

    // Step 5: Net = gross - prior revision amounts (for revised claims)
    result.NetReimbAmt = result.Total - ctx.PriorRevisionTotal;
    return result;
  }

  // DISUtil.Round() — MidpointRounding.AwayFromZero — MUST match legacy exactly
  private static decimal Round(decimal value) =>
    Math.Round(value, 4, MidpointRounding.AwayFromZero);
}
```

With this approach: updating rates = one database INSERT. Adding a new state = no rate code changes. State-specific overrides (state match, severe need eligibility, SSO rates) live in ClaimLaws — not in if/else branches. The characterization tests verify that rounding, Section 4/11 splits, and severe need logic all produce identical output to the legacy SP before any SP is retired.

Current Rates & Annual Changes

📋 SY2026-27 rates expected from USDA FNA in July 2026. When published: INSERT into `cnp_global.ClaimRateAmounts` with `EffectiveDate = 2026-07-01`. Zero code change. Zero deployment. First POC of the new rate update model.

Rate	Program	SY2024-25	SY2025-26	What can change it	State-specific?
Free Lunch	NSLP	$4.05	$4.12	USDA annual publication (July)	No — federal. State match added on top.
Reduced Lunch	NSLP	$3.75	$3.82	USDA annual publication	No
Paid Lunch	NSLP	$0.47	$0.50	USDA annual publication	No
Severe Need Lunch (Free)	NSLP	$4.35	$4.42	USDA. Sponsor must qualify via poverty data.	Qualification is state-determined; rate is federal
Performance-Based Reimbursement	NSLP	$0.08	$0.09	USDA. Added to ALL lunch rates if school meets nutrition standards.	Qualification is state-tracked; rate is federal
Free Breakfast	SBP	$2.21	$2.27	USDA annual publication	No
Severe Need Breakfast	SBP	$2.57	$2.64	USDA. ≥40% free/reduced enrollment qualifies.	Qualification threshold is federal; state tracks eligibility
SFSP Operating	SFSP	$4.43	$4.56	USDA annual publication	No

Rate (Lunch)					
SFSP Administrative Rate (High)	SFSP	$0.24	$0.25	USDA. High vs Low determined by site type/cost.	Site classification is state-determined
CACFP Breakfast (Free)	CACFP	$1.46	$1.51	USDA annual publication	No
CACFP Lunch (Free)	CACFP	$3.25	$3.34	USDA annual publication	No
DCH Tier I Lunch	DCH	$1.47	$1.52	USDA. Tier I = provider in low-income area OR provider income is low.	Tier determination is state/census-data driven
DCH Tier II Low Lunch	DCH	$0.97	$1.00	USDA annual publication	No
SSFO	SSFO	*Uses SFSP operating + administrative rates — no separate rate table. Same OprLunRte, AdmLunRteHigh/Low as SFSP.*		No — follows SFSP rates exactly	
State Match Rate	NSLP	Varies	Varies	State legislature. Utah ~$0.02/eligible lunch. Most states: $0.	**YES — fully state-specific.** Stored per-tenant in cnp_global.
Free Meal Threshold	All	130% poverty	130% poverty	Percentage is federal. Dollar amount updates with	No — federal percentage, federal

				poverty guidelines (March each year).	poverty guideline